Purpose Meets Profit: Insights from Emerging Social Entrepreneurs in Toronto

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Contents

Abstract

This report examines the motivations, challenges, and success factors shaping contemporary social entrepreneurship through interviews with four Toronto-based founders: Bruized, Kind Karma Company, Culcherd, and Biofect Innovations. It identifies two primary catalysts for venture creation: personal experience with a social issue and transformative awareness. The founders appear to rely on passion-driven, iterative experimentation rather than formal feasibility studies. Despite operating in different industries, they reported similar challenges, including securing funding, achieving product–market fit, measuring social impact, and scaling operations without compromising mission integrity. The analysis suggests that, in this sample, social entrepreneurs tend to combine moral commitment with pragmatic adaptation, leveraging innovation to address environmental and societal challenges while pursuing financial sustainability. The report concludes with practical recommendations on impact measurement, hypothesis testing, business model refinement, and engagement with impact investors to support sustainable growth and accountability.

Introduction

Social entrepreneurship has emerged as a distinctive response to complex social and environmental challenges that traditional businesses and public institutions have struggled to address effectively. By combining entrepreneurial methods with social purpose, these ventures aim to create value that extends beyond financial profit. Yet, despite growing academic and policy interest, the lived experiences of social entrepreneurs and the factors that shape their motivations, behaviours, and constraints remain insufficiently understood.

This study explores the trajectories of four social entrepreneurs based in Toronto, each operating in different industries but united by a commitment to addressing systemic issues through innovation and purpose-driven business models. Drawing on qualitative interviews, the analysis seeks to identify common patterns in motivation, opportunity recognition, and problem-solving, while examining the specific challenges associated with balancing financial viability and social impact. Through this lens, the research contributes to a deeper understanding of how social entrepreneurs translate personal experiences and ethical values into concrete and sustainable ventures.

Scope and Methodology

Nowadays, several definitions of social entrepreneurship coexist. However, having a shared understanding of this sector is essential to drawing meaningful conclusions from the collected data.

In the context of this report, a **social entrepreneur** is an entrepreneur whose decisions are primarily driven toward creating lasting, large-scale social benefits (Martin & Osberg, 2007). This definition covers a specific section of the social-business hybrid spectrum, including non-profit organizations that leverage business tools to achieve sustainability and pursue their social mission at scale. However, it excludes corporations practicing social responsibility.

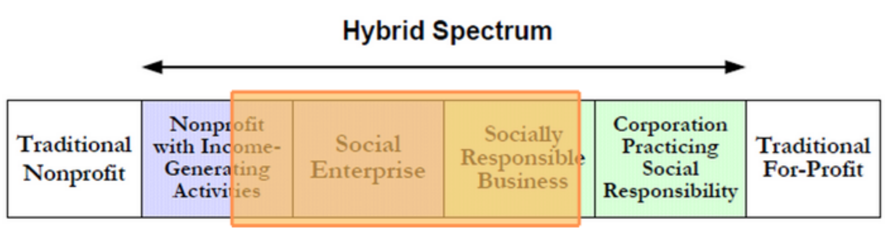

Figure 1: Kim Alter's hybrid spectrum (Alter, 2006) with the definition of social entrepreneurship used in this study (highlighted in orange).

This report relies on data collected through interviews with the following social enterprises.

Bruized is a Toronto-based company, founded by **Monique Chan**, aiming to combat food waste and raise awareness about this issue. The company sources imperfect products from farms and local retail stores and processes them into healthy snacks and beverages (Bruized, 2020).

Kind Karma Company "employs at-risk and transitioning homeless youth in Toronto to handcraft quality jewellery". In addition to receiving hourly wages, employees also receive proceeds from sales to support the achievement of their individual goals and aspirations (Kind Karma Company, 2020). Kind Karma Company's founder is **Laurinda Lee-Retter**.

Biofect Innovations is a Toronto biotech startup that genetically engineers yeast to produce cannabinoid compounds (THC, CBD) through natural fermentation. The company aims to eliminate the need for cultivating cannabis and reduce the related externalities, such as its significant carbon footprint. It also seeks to combat the stigma associated with the medical use of cannabis, to benefit people suffering from chronic pain and potentially other diseases (Biofect Innovations, 2020). The organization's founder, who participated in this study, is **Ralph Christian Delos Santos**.

Culcherd is a Toronto-based company, founded by **Tim D**, whose vision is to remove animals and plastics from the food chain through lines of healthy, eco-friendly, plant-based cheese and butter (Culcherd, 2020).

Findings and Analysis

Motivations for Social Entrepreneurship

The data reveal two distinct motivational profiles among the interviewees:

- individuals who experienced the problem they aim to solve firsthand, and
- those who underwent an eye-opening experience that transformed their perspective on a broader social or environmental issue.

The first group, which includes Laurinda and Tim, illustrates how personal adversity or unmet needs can drive entrepreneurial intent. Laurinda's experience of illness while working in an unfulfilling job led her to focus on supporting individuals in similarly vulnerable situations. Tim's search for a nutritious, plant-based cheese that could accommodate his relative's autoimmune condition prompted him to explore sustainable food alternatives.

The second group, represented by Monique and Christian, identified social opportunities through observation and reflection. Monique became aware of systemic food waste while working in restaurants, recognizing the disconnect between supply and need. Similarly, Christian's exposure to the carbon footprint associated with cannabis cultivation during his academic and professional experiences catalyzed his interest in sustainable production models.

Despite these different starting points, all founders expressed a shared frustration with the status quo. Laurinda challenged the stigmatization of marginalized youth, Monique and Christian questioned industry complacency toward sustainability, and Tim critiqued the lack of genuinely healthy and eco-friendly alternatives in food innovation. Their ventures emerged from a dissonance between personal values and prevailing norms.

This diversity in motivation is mirrored in their backgrounds, ranging from science to media to hospitality. In these cases, non-linear and cross-domain trajectories appear to have enabled the recognition of unconventional opportunities that reflect a combination of personal experience, ethical awareness, and professional reinvention.

Opportunity Recognition and Development Process

Across cases, the entrepreneurs' opportunities appear to have emerged from a blend of **personal passion, experiential knowledge, and creative recombination** rather than from formal market research. For three of the four founders, the initial idea originated in their hobbies or personal activities, where curiosity and skill intersected. Laurinda's early interest in jewelry making, sidelined in her previous employment, became a means to channel creativity into social purpose. Monique's enjoyment of cooking evolved into an entrepreneurial concept during a social entrepreneurship course, while Christian's fascination with molecular biology led him to apply scientific expertise to environmental sustainability in cannabis production. Tim's path differed slightly, as his opportunity stemmed from personal need: the search for a dairy-free cheese that was both nutritious and palatable.

Beyond idea generation, the founders shared a tendency to **innovate through processes rather than products**. Their ventures often reimagined existing markets by modifying production, sourcing, or labour practices. Monique transforms food waste into snacks and beverages, redefining value in what is typically discarded. Tim's operation eliminates preservatives and microplastics from dairy alternatives through process control and transparency. Christian's innovation lies in using yeast-based biotechnology to synthesize plant molecules more sustainably. Laurinda applies a parallel logic to the social domain, treating youth creativity as an underutilized resource and transforming marginalized labour into artisanal production.

Taken together, the cases suggest that opportunity recognition involved reassembling existing resources and competencies to address unmet social or environmental needs. Each founder illustrates how meaning, purpose, and technical know-how can converge to redefine both the process and the value system of an industry.

Feasibility Assessment and Early Validation

None of the interviewees reported conducting a formal opportunity assessment prior to launching their ventures. Instead, they relied on assumptions and iterative trial-and-error processes to test and refine their opportunities.

Opportunity's potential

The table below summarizes the main assumptions that the four social entrepreneurs made to evaluate their opportunity potential. However, it does not attempt to assess their validity.

Entrepreneur	Criterion	Assumption
Monique	Social need	Preventing food waste is essential for society
Monique	Venture capacity	She already had the equipment required to start production
Monique	Venture capability	She is sufficiently skilled in cooking
Laurinda	Community support	Customers will prefer buying her jewellery because of its social purpose
Laurinda	Venture capability	She is sufficiently skilled in jewellery manufacturing
Christian	Social need	The cannabis industry will generate an unsustainable carbon footprint
Christian	Window of opportunity	Cannabis legalization across North America will create favourable conditions for introducing his technology as an alternative production model
Christian	Market size	Demand for cannabis will grow significantly in the coming years
Christian	Venture capability	He has the skill set required to pursue the opportunity
Christian	Barriers to entry	His technology offers a unique value proposition
Tim	Mission alignment	His products are both healthy and palatable
Tim	Venture capacity	He already had the required equipment to start production

Feasibility's validation

The feasibility stage varied across the four ventures, reflecting their founders' diverse levels of market exposure and operational maturity. Two entrepreneurs (Laurinda and Tim) have already obtained partial validation of their business models, while Monique and Christian remain in earlier phases of experimentation. Yet all have undergone a process of iterative learning, adapting their models in response to practical constraints and unforeseen challenges.

Monique's experience illustrates how initial market testing often exposes limitations in distribution strategy. Relying solely on farmers' markets proved unsustainable due to fluctuating sales, time intensity, and environmental unpredictability. Her ongoing search for diversified channels underscores the tension between maintaining direct contact with customers and achieving operational efficiency.

Laurinda's venture reached break-even in its first year but faced challenges inherent to its social mission. Managing employees from vulnerable backgrounds placed her in constant crisis management, prompting her to establish boundaries and referral systems to external social services. High staff turnover also forced her to innovate socially, developing an incentive program that links personal goal achievement to financial rewards, turning human development into a lever for organizational stability.

Christian's case reflects a typical scientific bias toward technical problem-solving. Initially focused on research, he has since shifted attention toward business feasibility by developing a minimum viable product (MVP) and engaging early buyers to test adoption potential. Similarly, Tim's partial equity sale to investors validated market interest but also increased performance pressure. Although his firm has yet to reach profitability, he demonstrates strategic awareness of the metrics required to do so.

Taken together, these cases suggest that feasibility validation in social entrepreneurship rarely follows a linear path. Instead, it appears to emerge through cycles of testing, feedback, and adaptation, where constraints become pathways for refining both the social mission and the business model.

Key Challenges in Scaling and Sustaining Impact

In this sample, the entrepreneurs reported a consistent set of challenges that extend beyond their specific industries. While many of these obstacles are typical of early-stage ventures (resource scarcity, time constraints, and personal strain), others are more distinctive to the dual mission of social entrepreneurship, which requires balancing financial sustainability with social purpose.

Time management and personal involvement

Founders often underestimated the emotional and physical demands of launching and sustaining their ventures. Laurinda described the need to *"let go of the non-essential,"* recognizing that overcommitment and lack of rest threatened both her mental health and her ability to lead effectively. Monique similarly reflected on how the intensity of entrepreneurial engagement can border on burnout, particularly when founders internalize responsibility for every operational detail. These experiences highlight the thin boundary between passion and exhaustion, a recurrent risk among mission-driven entrepreneurs whose commitment to social impact amplifies personal investment.

In each case, the founders learned to navigate these pressures by redefining priorities, setting boundaries, and developing greater self-awareness of their limits. Their experiences are consistent with a broader pattern within this sample: a tension between dedication and sustainability, where emotional resilience appears to be as critical as strategic or financial capability for long-term impact.

Finding product-market fit

Achieving product–market fit remains a central challenge for the social enterprises studied. Despite operating in different industries, both Bruized and Biofect are still refining the alignment between their products, market demand, and social mission.

For Monique at Bruized, the challenge lies primarily in distribution and market positioning. Having tested her concept at farmers' markets, she is now seeking scalable sales channels and professional guidance to strengthen her brand and clarify its value proposition. This reflects a common difficulty for early-stage social ventures: transitioning from proof of concept to a sustainable market presence while preserving authenticity and purpose.

Christian at Biofect faces a more conceptual dilemma, questioning the relationship between product development and market orientation: *"Is the product dictated by the market or vice versa?"* While preparing to launch his MVP, he recognizes that limited early engagement with potential customers may slow adoption.

Laurinda and Tim reported fewer immediate issues but acknowledged the need for deeper market research before expanding. Collectively, these experiences suggest a tendency to prioritize mission and innovation over systematic market analysis, which may delay validation and complicate growth.

Scaling

Three of the four entrepreneurs identified scaling as one of their most pressing challenges. While each operates in a distinct sector, their experiences converge around the desire to expand impact while preserving organizational identity and values.

For Bruized and Culcherd, the principal obstacle lies in achieving economies of scale. Both founders recognize that industrialization (through larger facilities, specialized equipment, and optimized processes) is essential for cost efficiency and market competitiveness. Yet this transition entails substantial capital investment and operational risk. Tim described a *"threshold effect"* that prevents linear expansion, as scaling requires a quantum leap in infrastructure and human resources. He also highlighted the regulatory complexity of food safety standards, which vary across jurisdictions and complicate geographic expansion.

Laurinda's view of growth contrasts with this industrial logic. While she aspires to scale her social enterprise, she is determined to do so without compromising her mission of youth empowerment. Her emphasis on building strong internal foundations before expanding reflects a deliberate, values-driven approach to growth. With the support of a coach, she is developing strategies to reconcile social purpose and scalability (e.g., envisioning creative community spaces for young artisans in Toronto).

By contrast, Christian expressed plans for future expansion but did not currently perceive scaling as a constraint.

Across these cases, scaling emerges as both a strategic and ethical dilemma, where growth becomes a balancing act between expanding impact and sustaining purpose.

Funding

Access to funding emerged as a shared challenge among the interviewees, reflecting one of the most persistent barriers in social entrepreneurship research. All founders acknowledged that bootstrapping offers only short-term viability and that navigating the complex landscape of grants and impact funding requires time and specialized knowledge. Yet their experiences diverge sharply when it comes to external investment and the implications of equity financing.

For Monique and Laurinda, investor funding raises concerns about autonomy and accountability. Both expressed apprehension that accepting equity partners could compromise their mission by introducing conflicting priorities or external pressures for rapid growth. This hesitation reflects the tension between mission preservation and financial dependency that can often arise in socially driven ventures.

Christian occupies a more exploratory position. While engaging in discussions with potential investors, he remains uncertain about how to evaluate partnership quality and equity terms, highlighting the informational asymmetry often faced by first-time entrepreneurs in negotiation contexts.

At the opposite end of the spectrum, Tim has already onboarded investors to support growth but is now seeking a loan to minimize further equity dilution. This approach demonstrates both financial pragmatism and a desire to retain strategic control.

Taken together, these accounts point to the difficulty of reconciling capital needs with value alignment. In this context, funding decisions influence governance structures, stakeholder relationships, and ultimately the degree to which founders can preserve alignment between social purpose and financial sustainability.

Measuring social impact

Assessing social impact remains one of the most complex and underdeveloped areas of practice among the entrepreneurs studied. While all participants recognized its importance, they struggled to translate qualitative social outcomes into quantifiable indicators.

Monique has measured her company's success primarily through a tangible metric — over 1,800 pounds of food saved — which provides a clear and communicable indicator of environmental benefit. However, she acknowledges that other outcomes, such as reductions in carbon emissions or broader community effects, are far more difficult to track with precision.

The same challenge applies to Laurinda, whose work centers on human development and empowerment. Because her impact is inherently relational and qualitative (i.e., focused on confidence, creativity, and social reintegration), it resists standardized measurement. Both entrepreneurs face the tension between narrative evidence and numerical accountability, a persistent dilemma in social entrepreneurship.

These cases indicate a structural limitation in translating social outcomes into standardized metrics. While financial indicators are widely codified and comparable, approaches to measuring social impact appear more fragmented and context-dependent. As a result, social entrepreneurs often rely on anecdotal evidence or isolated indicators that may not fully capture the depth or durability of their contribution.

Figure 2: Relative frequency of challenges reported by interviewed entrepreneurs.

Discussion - Inferring a social entrepreneur profile

Given the small sample and the focus on operating ventures, these findings should not be interpreted as predictive determinants of success, but rather as descriptive patterns within the cases examined.

Despite differences in sector, background, and business maturity, the entrepreneurs interviewed shared strikingly similar characteristics. These commonalities suggest the outline of a shared behavioural profile, shaped more by mindset and motivation than by industry context.

The group displayed remarkable diversity in gender, ethnicity, education, and professional experience. Yet, each developed a strong social orientation through transformative experiences that redefined how they perceived injustice, sustainability, or community needs. These experiences often translated into ventures that leveraged personal skills or passions to address problems the founders had directly witnessed or endured.

A defining behavioural pattern among participants was action bias, a predisposition toward immediate implementation rather than extended planning. Driven by discomfort with the status quo, they favour trial-and-error experimentation over formal validation. This urgency to “make things right” suggests that strong moral commitment can shorten the distance between intention and action.

At the same time, their commitment to social value creation coexists with pragmatic self-interest. Many view their work as personally redemptive: by alleviating others’ suffering, they also resolve aspects of their own. This duality illustrates how psychological meaning can reinforce persistence in the face of uncertainty.

The entrepreneurs demonstrated high resilience and optimism, which may reflect a survivorship effect, as only ventures that remained operational were included in the sample. Optimism, however, appears to function as a resource that supports persistence under uncertainty.

Interestingly, despite their optimism, the founders were risk-averse in financial terms. Most adopted low-capital, do-it-yourself approaches, preferring incremental progress over high-stakes investment. Finally, their openness to learning and receptiveness to external ideas stood out, though this may reflect a self-selection bias among interviewees willing to share their experiences.

Together, these traits portray social entrepreneurs as pragmatic idealists: individuals who combine conviction with adaptability, translating moral frustration into concrete, sustainable action.

Recommendations

Identifying social impacts

Social entrepreneurs could benefit from systematically identifying the specific effects they have on society. The resulting insights would help them define relevant metrics tailored to their context. Appendix 1 presents tools to implement this recommendation.

Expected benefits:

- Gaining a holistic understanding of the company's social impact
- Setting goals and measuring progress
- Communicating concrete metrics
- Strengthening applications for grants, loans and investments

Testing hypothesis

Although rushing into action may be understandable, founders can strengthen their decision-making by explicitly identifying and testing their assumptions using a structured, bias-aware approach. Customer discovery, detailed in Appendix 2, provides an effective method for evaluating the validity of key hypotheses.

Expected benefits:

- Reducing biases in the decision-making process
- Eliminating flawed assumptions early
- Limiting exposure to sunk-cost fallacies

Developing a business model

Entrepreneurs should articulate a coherent business model before projecting forward. The idea is to formulate a set of testable hypotheses regarding the value proposition, target customers, and acquisition channels, and to refine these hypotheses through structured experimentation (see the section above). The Business Model Canvas (see Appendix 3) provides a practical framework for designing and stress-testing a business model.

Expected benefits:

- Assessing opportunity feasibility
- Clarifying product-market fit
- Structuring preparation for scaling
- Surfacing flawed assumptions
- Estimating funding requirements
- Strengthening communication with customers, investors, and grant providers

Considering impact investors

Impact investors are organizations that provide capital to ventures seeking measurable social and financial returns. Social entrepreneurs should consider engaging with such investors if their business model and projections indicate a need for external funding.

Moreover, founders can leverage these funding opportunities more effectively if they have previously identified and articulated their social impact. Appendix 4 contains a list of Canadian impact investment organizations.

Expected benefits:

- Accessing external capital
- Aligning financial partners with the company's mission
- Signaling external validation of the venture's potential
- Gaining strategic guidance and mentorship from specialized investors

Conclusion

This study reveals that the social entrepreneurs within this sample, despite operating in diverse industries, appear to share a set of recurring psychological and behavioural traits. Their ventures often emerge from transformative experiences that blend empathy with problem-solving, leading them to reimagine existing systems through innovation and resourcefulness. Purpose acts as both catalyst and constraint: it fuels perseverance and creativity but can also lead to emotional exhaustion and cautious financial behaviour.

They therefore embody a paradoxical balance between idealism and pragmatism: risk-averse in investment yet bold in intent, guided by moral conviction yet adaptable in execution. Their journeys suggest that impactful entrepreneurship is less about invention than about creatively aligning personal values, available resources, and systemic opportunity to produce sustainable social change.

Appendices

Appendix 1. Defining social impact

Sustainable Development Goals (SDG)

The Sustainable Development Goals are a set of goals adopted by the United Nations in 2015 to end poverty "in all its forms" everywhere by 2030. They include 169 targets divided into 17 goals (United Nations, 2015). A social enterprise would benefit from identifying the SDGs it aligns with to better understand the context in which it operates.

Impact measurement framework

The Impact Management Project defined a framework to gain a systemic understanding of an organization's impact (Impact Management Project, 2019). It classifies a company's impact according to the following categories:

- May cause harm
- Does cause harm
- Act to avoid harm (A)
- Benefit stakeholders (B)
- Contribute to solutions (C)

Social Return on Investment (SROI)

Social Return on Investment (SROI) is a practical tool to assess and communicate a social enterprise's impact (New Economics Foundation, 2009).

In simplified terms, SROI estimates the net social value generated by a venture relative to what would have occurred without it. In many cases, it compares the societal costs associated with a given problem to the cost of addressing it, producing a ratio that indicates how much social value is created for each dollar invested in the company.

Appendix 2. Customer discovery

Customer discovery is a process used to test an entrepreneur's assumptions and help them build the right product for their customers.

The process follows a scientific approach and includes the following steps:

1. Formulate a specific and detailed hypothesis.
2. Identify the assumptions embedded in the hypothesis.
3. Identify potential customers.
4. Meet individuals who match the customer profile and engage them in conversation.
5. Evaluate their responses and if necessary, return to step 1.

In the fourth step, the most effective approach is to ask open-ended questions to potential customers without revealing the hypothesis. Indeed, people naturally want to help and may answer based on what they think the entrepreneur wants to hear.

During the conversation, the tone of the customer's voice can signal their level of interest (or lack thereof) in the matter. The entrepreneur should consider discarding the hypothesis if the interviewees do not express genuine interest in the subject or if their answers significantly diverge from the assumptions. They should then restart the process with a refined hypothesis.

Appendix 3. Business Model Canvas

The Business Model Canvas is a structured visual tool designed to help companies build or refine their business model (BMI, 2019).

The steps to use a Business Model Canvas are:

1. Fill the sections of the canvas.

- Customers and value proposition - *Who is the company serving and why does it matter to them?*
- Channels and customer relationships - *How does the company acquire customers, retain them, and interact with them?*
- Key resources, activities and partners - *What are the company's core operational components?*
- Cost structure and revenue streams - *What is the company's expected bottom line?*

2. Connect items across dimensions (e.g., all expenses should contribute to the value proposition) to identify overlooked resources and activities, as well as unnecessary expenses.
3. Identify the assumptions made during the process and test them (see customer discovery above).
4. If testing invalidates key assumptions, return to step 1.

Appendix 4. Canadian impact investment organizations

- **SVX** (https://www.svx.ca/) is a platform that aims to connect social ventures and investors through crowdfunding. Entrepreneurs can list their companies, manage fundraising targets, and communicate directly with investors. The platform leverages a 2016 regulation that allows individuals to invest in private companies.
- **OpenImpact** (https://www.openimpact.ca/) is a Canadian database of impact investment opportunities, similar to SVX.
- **MaRS** (https://impactinvesting.marsdd.com/) is the organization behind SVX. It also provides entrepreneurs with mentorship, network opportunities, and additional resources.

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